

(money) to begin with.

The Financial Industry Regulatory Authority (FINRA) in the US recommends that day traders keep a fund of at least US\$25 000 in their account at a minimum. This is to protect investors from getting too over-leveraged (borrowing too much money to invest) and so they have enough in their accounts to weather the downfalls during trading.

While it might look exciting, and can come with big wins, most often it does not. Investors in training know that the wealthiest investors in the world grew their money through buy and hold strategies, not through day trading.

Options trading

Options trading is a bit like day trading in terms of risk but the trade lasts longer than a few hours. Essentially it is betting that a stock will go up or down in price and, if you are correct, you make money from it. If you are wrong, you lose money, and you can lose more than just your initial investment — sometimes much more. Options fall under a larger category called derivatives. In simple terms, it means the price depends on the price of something else. It's like buying a bunch of concert tickets in the hopes of reselling them for a profit ... but the concert tickets' values are affected by how many shows the artist decides to put on (supply).

Options trading can be done by placing bets on stocks, bonds, ETFs or mutual funds. You're essentially putting a deposit down to buy or sell something in the future:

- When you make a call option, you are saying you want to buy shares at a certain price at a certain time. This isn't an obligation, however.
- When you make a put option you are saying you want to sell a certain number of shares at a certain time. This is not an obligation.
- You can 'long' or 'short' a stock, which is essentially betting that the stock price will rise or fall.
- You can also buy or sell other people's calls and puts. Buying them is 'longing' them and selling them is 'shorting' them.